V2 — decisions adopted

Policy Director · MOO-100 · 12 October 2026 · internal, pre-decisional

Six board decisions now govern V2. All six are closed. This document is the authoritative record of them. Where any other V2 document appears to say something different, this document controls and the other document is behind.

#	Decision	Taken	Status
1	**Denominator.** 177,807 stays as system-wide context only; the state-agency Plan 1/Plan 2 count is the modeling denominator	12 Oct 2026	Applied
2	**Reach bounds.** Take-up low 5% / mid 12% / high 25% of the qualified veteran pool over the pilot	12 Oct 2026	Applied
3	**Bridge screen.** The purchasable screen — 2,396 — not G9's "within four years" screen — 5,177	12 Oct 2026	Applied
4	**Hazardous-duty and judicial state plans.** Excluded, and the exclusion stated expressly	12 Oct 2026	Applied
5	**Plan 2.** Both findings confirmed: Bridge scored at zero, proximity assumptions retired	12 Oct 2026	Applied
6	**Agency payroll saving.** No transfer mechanism. It never nets against the pension cost	12 Oct 2026	Applied

No headline figure changes because of decisions 3 to 6. The fiscal model was built on the recommended reading of all four, so 17 / 42 / 86 participants, the 9-to-141 full range and $231k / $555k / $1.16M in member payments all stand exactly as published. What the four decisions change is what the *bill* has to say, what the *fiscal note* has to say, and which figures are now retired from use.

Decision 1 — Denominator

Decided. Keep 177,807 active Plan 1 and Plan 2 members as the system-wide context figure. Make the state-agency Plan 1/Plan 2 count the modeling denominator.

Applied as. The modeling denominator is **28,994** — Plan 1 20,872, Plan 2 8,122 — derived from the VRS *Annual Actuarial Valuation, June 30, 2025*, "Active Participants Tabulated by Age and Total Service — State Employees," p. 50, by applying the statutory plan-tier boundaries to the published age × total-service cells. 177,807 appears nowhere in the arithmetic.

One correction carried in this record. My first estimate of the state Plan 1/Plan 2 population was roughly 39,000, taken pro-rata from the system-wide plan mix. The derived figure is 28,994 — about 26% lower — because state service churns faster than the teacher population and is therefore more Hybrid-weighted than the system as a whole. Any document still carrying 39,000 is wrong. G24 replaces the derivation with VRS's own count.

Decision 2 — Reach bounds

Decided. Take-up of 5% / 12% / 25% of the qualified veteran pool across the four-year pilot.

Applied as. 17 / 42 / 86 participants, holding veteran share at 8% and qualifying-service share at 50% so that take-up is the only thing moving. Take-up is one of three dials; the other two are G24 data requests, and moving all three gives the honest range of **9 to 141**.

What this does not settle. Take-up is not the strongest dial. Holding take-up at mid and moving only the qualifying-service share from 35% to 65% takes participants from 29 to 54. That dial has no source at all and is the weakest number in the model. Only G24 closes it.

Decision 3 — The Bridge screen is the purchasable screen

Asked. Which screen defines the Bridge population — the purchasable screen (2,396), G9 as written (5,177), or both in the fiscal note for VRS to choose?

Decided. The purchasable screen. **2,396.**

The governing definition

The Retirement Bridge population is **members who can reach their applicable unreduced-retirement threshold by purchasing up to 48 months of service credit.** It is not members "within four years of the threshold."

Why the two screens differ by 2.2×

Purchased service credit adds **service**. It does not add **age**. So the Bridge can only help a member whose eligibility path is service-based:

- **Plan 1, age 50 with 30 years** — purchasable, if the member is already 50 or older.
- **Plan 2, Rule of 90** — purchasable in principle. See decision 5.
- **Plan 1's age-65 rule and Plan 2's age-67 rule** — not purchasable at any price.

A 61-year-old Plan 1 member with 12 years of service is "within four years of the threshold" under G9 and cannot be bridged at all. Four years of military credit moves that member's eligibility date by zero days.

Screen	Plan 1	Plan 2	Total	Status
Can reach the threshold with ≤48 months purchased	2,396	0	**2,396**	**Governing**
G9 as written — within 4 years of the threshold	4,635	542	5,177	Retired. Comparison only

What this changes

1. **Bill text.** The Bridge must be drafted on a reach test, not a proximity test. Language on the lines of "*the number of months of qualifying military service necessary for the member to attain eligibility for an unreduced retirement allowance, not exceeding 48 months*" already does this — G2 and G18

are drafted correctly. The point of the decision is that nothing downstream may reintroduce a "within four years" framing.

2. **Fiscal note.** 5,177 must not appear as a Bridge population. If it appears at all it appears labelled as the superseded screen, with the reason.
3. **Our own documents.** G9's "within 4 years of the unreduced threshold" remains a legitimate planning screen for context and for the Incentive discussion. It is no longer a Bridge figure.
4. **Figures.** None. The model already used 2,396.

The honest cost of this decision

The purchasable screen is the smaller and more defensible pool, and it cuts about 24% off total participants against the G9 screen. We are choosing the number we can defend over the number that looks better. That is the right trade, and it should be said out loud in the fiscal note rather than left to be discovered.

Decision 4 — Hazardous-duty and judicial state plans are excluded, expressly

Asked. Do the hazardous-duty and judicial state plans take part?

Decided. Exclude them, and say so explicitly in the bill and in the brief, so the omission reads as a design choice rather than an oversight.

The governing scope

The pilot applies to **Plan 1 and Plan 2 members of the VRS State Employees (non-hazardous-duty) plan only.**

Plan	Active members, 30 June 2025	Status
VRS State Employees — non-hazardous duty	81,274	**In scope** (Plan 1/Plan 2 subset: 28,994)
Virginia Law Officers' Retirement System (VaLORS)	7,459	Excluded
State Police Officers' Retirement System (SPORS)	1,902	Excluded
Judicial Retirement System (JRS)	473	Excluded
VRS Hybrid Retirement Plan	52,280	Excluded by G15

What the bill now has to carry

An express exclusion. Silence is the thing we have just decided against. Suggested shape for the drafting request, subject to Division of Legislative Services drafting:

> *The pilot program established by this section shall apply only to persons who are members of the retirement system established under Chapter 1 of Title 51.1 as state employees other than those in positions covered by the State Police Officers' Retirement System, the Virginia Law Officers' Retirement System, or the Judicial Retirement System.*

Why exclusion is the right call, stated accurately

Three reasons, and one correction to how I put the second of them in an earlier note.

1. **Different eligibility rules.** Hazardous-duty members reach unreduced retirement at age 60 with five years, or age 50 with 25 years, and have enhanced multipliers. Judicial members accrue service at a weighted rate. The Bridge arithmetic in decision 3 does not transfer to any of them; each would need its own derivation.
2. **Much higher price per member.** The approximate-normal-cost rates for purchased service are far higher in these plans: **23.78%** of salary per year for Plan 1 hazardous duty and **31.97%** for Plan 1 judicial, against **12.50%** for Plan 1 non-hazardous. *Correction: in an earlier note on the thread I described these as historical purchase participation rates. They are not. They are the approximate-normal-cost price rates from the VRS cost-rate chart effective 1 July 2025. The practical effect is that a hazardous-duty participant costs roughly twice as much and a judicial participant roughly 2.6 times as much per year purchased — a cost reason to exclude, not a behavioural one. We have no verified purchase-participation rate for any plan.*
3. **The data gap is worse, not better.** Veterans are plausibly over-represented in corrections and law enforcement, which is exactly why we should not guess at the cohort. We have no veteran count for these plans at all.

The honest cost of this decision

We are excluding the cohort where veteran representation is probably highest. That is a real reduction in who the bill helps, and the brief should say so rather than let a hostile reader find it. The defensible position is sequencing: the pilot proves the mechanism on the plan we can model, and G24's data makes a hazardous-duty extension a costed proposal at reenactment in 2031 rather than a guess in 2027.

Expect an expansion amendment. A legislator moving to add VaLORS is a foreseeable floor amendment, and it is the kind that passes on sympathy. Pre-score it before it is offered: at the same participant rates, a VaLORS cohort costs roughly **1.9×** per year purchased and is drawn from a population of 7,459. We should have a number ready rather than take the amendment unpriced.

Decision 5 — Both Plan 2 findings confirmed

Asked. Confirm both findings; confirm only the zero Bridge score; or neither.

Decided. Both confirmed. Plan 2 stays legally eligible for the Bridge under G2 but is scored at zero. The Plan 2 retirement-proximity percentages are retired in favour of the derived figures.

5a — Plan 2 Bridge participation is scored at zero

Not small. **Structurally zero, for the whole four-year pilot.**

A Plan 2 member was hired between 1 July 2010 and 31 December 2013, so at 30 June 2025 the member holds at most **15.5 years** of service. Rule of 90 therefore requires age **74.5** or more. Anyone that old already qualified for unreduced retirement at 67 under the age rule — which puts them in the Incentive pathway, not the Bridge. **There is no Plan 2 member for whom buying service accelerates eligibility.**

Why Plan 2 stays in the bill anyway. Three reasons, all good:

- It costs nothing. A zero population has a zero price.
- Naming only Plan 1 invites a tier-discrimination argument we have no reason to have.
- The zero is a feature of the calendar, not of the plan. Plan 2 members keep accruing service. A Plan 2 Rule-of-90 Bridge cohort does come into existence eventually — it just does not exist inside a pilot running 2027–2031.

What the fiscal note must say. That the expected Plan 2 Bridge count is zero, with the structural reason. Without it, VRS will reasonably reserve for a population that does not exist, and the bill will carry a cost for nothing.

5b — The Plan 2 proximity assumptions are retired

	G9 planning assumption	Derived from the VRS table	Status
Plan 1 already beyond threshold	35%	28.4%	Assumption retained. ~23% high, close enough to use
Plan 1 within 4 years	25%	22.2%	Assumption retained
Plan 2 already beyond threshold	12%	**4.0%**	**Assumption retired.** 3× high
Plan 2 within 4 years	13%	**6.7%**	**Assumption retired.** 2× high

The Plan 2 assumptions failed for the same structural reason as 5a: a Plan 2 member cannot hold more than 15.5 years of service, so almost none of them are near either eligibility rule.

Consequence for G23. G23 requires that the planning percentages never be presented as VRS findings. The list it governs is now **Plan 1 25% and 35% only**. The Plan 2 figures 12% and 13% are withdrawn from every V2 document and must not be quoted again. The derived 4.0% and 6.7% replace them, labelled as derived from the published VRS age × service table — which is a stronger label than "assumption," but still not a VRS finding. G24 remains the final word.

Decision 6 — No transfer mechanism for the agency payroll saving

Asked. Does the bill carry a mechanism to move the agency payroll saving into the trust fund?

Decided. No mechanism. The saving is presented as a separate Commonwealth benefit and never nets against the pension cost.

The governing rule

The agency payroll saving is **agency appropriation, not VRS trust-fund money.** Nothing in the bill moves it. No headline, table, brief, one-pager or item of testimony nets Ledger 2 against Ledger 1. This is G11, and it now has a board decision behind it rather than only a drafting convention.

What is being given up, stated plainly

At mid take-up the recurring agency payroll saving is about **$690,000 a year** at 85% replacement salary with 3% of positions not refilled, against a one-time member payment of **$555,000** into the trust fund. It is the strongest fiscal argument available for the bill, and decision 6 means it cannot be used as an offset in the fiscal note. We accept that, because the alternative is worse: a netted headline is the fastest way to lose credibility with the VRS actuary, and once lost it does not come back.

What we may still say

That the Commonwealth gets two things. A bounded, measurable trust-fund cost that VRS prices. And a separate, recurring general-fund payroll saving in agency budgets. Both are real. They are not the same accounting transaction, and we present them in separate columns that are never summed in a headline.

What remains measured either way

G22 already requires the annual report to capture employer payroll savings, replacement salary where available, whether the position was refilled, and positions eliminated or not refilled. Decision 6 does not touch that. The pilot still produces the evidence, so if a future General Assembly wants a transfer mechanism at reenactment in 2031, it will be arguing from four years of Virginia data instead of from our model.

One trap this decision does not remove

Do not let anyone count the full **11.07%** State Employees employer contribution rate as avoided cost. Of those points, **6.49** are amortization of a fixed-dollar unfunded liability — $6.05 billion for State Employees at 30 June 2025. Cutting covered payroll does not cut that liability by a cent; it cuts the dollars collected against it, and the rate has to rise later to make up the shortfall. Only **4.34%** employer normal cost, **0.24%** administrative expense and **7.65%** FICA are real savings. The honest scalable multiplier is **1.1223**, and the amortization line appears separately, labelled a timing cost. At mid take-up that line is **$39,882 a year**.

What is now closed, and what is still open

Closed. All six decisions above. The architecture, the denominator, the reach bounds, the Bridge definition, the plan scope, the Plan 2 treatment, and the ledger rule.

Open, in the order each one moves the numbers.

#	Open item	Owner	What it blocks
1	**k** — the ratio of actuarial-equivalent cost to approximate normal cost, by age band and tier, for both pathways	VRS actuary	Ledger 1 entirely. k is the number that decides whether the bill is affordable, and nothing in our model can substitute for it. Expect k to be high: actuarial cost rises sharply with age and both pathways deliberately aim at the oldest members in the plan
2	The G24 counts — active Plan 1/Plan 2 state employees, veterans among them, members with qualifying purchasable military service, average qualifying months	VRS and DHRM	Replaces the 28,994 derivation and closes two of the three reach dials, which is what collapses the 9-to-141 range
3	Is the G5 true-up collectible?	VRS counsel	Whether the Incentive pathway has any hard tie to a retirement outcome at all
4	A V2 administrative-cost estimate	VRS and DHRM	G14 / Ledger 4. V1's $375,000 does not carry over — it priced a certified-subsidy cap, a published queue and a central reservation system, none of which survive into V2
5	Current state health-insurance premium per employee	DHRM	The unfilled-position line in Ledger 2

The drafting request target is unchanged: 30 November 2026.

Sources

All retrieved 12 October 2026. Primary sources only, per G25.

Source	Used for
VRS, *Annual Actuarial Valuation, June 30, 2025* — p. 49 Active Participant Detail, p. 50 age × total-service table, p. 12 State Employees contribution rate development	Denominator, pathway cohorts, employer rates, UAAL
VRS, *Purchase of Prior Service Cost Rates*, effective 1 July 2025	12.50% / 10.74% / 6.68% non-hazardous; 23.78% hazardous; 31.97% judicial
VRS Plan 1 and Plan 2 Handbooks for Members	Unreduced-retirement eligibility rules; 1.7% and 1.65% multipliers
VRS, Purchase of Prior Service — Cost Windows, Types of Service, Payment Methods	Two-year window; 48-month active-duty maximum; 6–12 month agreements at up to 4 months credit per month
VRS 101 brochure, p. 4	System-wide context only: Plan 1 110,474, Plan 2 67,333, 864 participating employers